Swarm Project

Overall Counter TB Performance Review

[Jul'25-Oct'25 Counter TB program performance]: ADO grew to 131k in Oct, with the MTD's PnL being ~BE 2% or -$338k USD, PL dragging down mainly because of Level 3 ERP push

Table: Oct'25 MTD TB program (as of Oct 20th)

TB program & P&L USD	Taobao Program					Lever 3 (ERP TB SKU)					Lever 1 (New seller acquired to TB)					Lever 2 (Existing seller TB SKU)					Lever 4 (Choice TB SKU)				
	Jul	Aug	Sep	Oct	Sep vs Aug	Jul	Aug	Sep	Oct	Sep vs Aug	Jul	Aug	Sep	Oct	Sep vs Aug	Jul	Aug	Sep	Oct	Sep vs Aug	Jul	Aug	Sep	Oct	Sep vs Aug
ADO (1)	86,195	93,727	113,791	130,806	21%	130	2,664	7,472	10,465	180%	3,346	4,513	6,045	7,285	34%	82,553	86,410	100,139	112,913	16%	166	140	136	144	-3%
ADGMV	899k	957k	990k	1,147k	4%	1k	9k	31k	46k	231%	27k	37k	51k	65k	40%	871k	910k	908k	1,035k	0%	1k	1k	1k	1k	-8%
ABS	10.4	10.2	8.7	8.8	-15%	8.7	3.5	4.1	4.4	18%	8.0	8.1	8.5	8.9	5%	10.5	10.5	9.1	9.2	-14%	4.8	4.9	4.6	4.6	-5%
P&L (monthly, $)																									
Standalone P&L	-36k	-444k	-1,162k	-914k	-162%	-36k	-444k	-1,162k	-914k	-162%															
MP PC2	524k	632k	377k	493k	-40%	30k	69k	179k	151k	160%	72k	81k	68k	71k	-16%	425k	484k	132k	271k	-73%	-3k	-2k	-2k	-1k	6%
SLS PnL	869k	870k	1,119k	760k	29%	4k	30k	197k	191k	556%	24k	40k	51k	39k	29%	841k	801k	871k	529k	9%	0k	0k	0k	0k	45%
Combined MP PC2+SLS+Standalone	**1,357k**	**1,059k**	**334k**	**338k**	**-68%**	**-2k**	**-345k**	**-786k**	**-572k**	**-128%**	**96k**	**121k**	**119k**	**110k**	**-1%**	**1,267k**	**1,285k**	**1,003k**	**800k**	**-22%**	**-3k**	**-3k**	**-2k**	**-1k**	**13%**
P&L (monthly, % of GMV)																									
Standalone P&L%	-103%	-155%	-4%	-4%	151%	-103%	-155%	-127%	-104%	28%															
MP PC2%	2%	2%	1%	2%	-1%	85%	24%	20%	17%	-5%	9%	7%	4%	6%	-3%	2%	2%	0%	1%	-1%	-13%	-10%	-10%	-6%	0%
SLS%	3%	3%	4%	3%	1%	11%	11%	22%	22%	11%	3%	3%	3%	3%	0%	3%	3%	3%	3%	0%	-1%	-2%	-1%	1%	1%
Combined MP PC2+SLS+Standalone%	**5%**	**4%**	**1%** (2)	**2%**	**-2%**	**-6%**	**-121%**	**-86%**	**-65%**	**35%**	**12%**	**11%**	**8%**	**9%**	**-3%**	**5%**	**5%**	**4%**	**4%**	**-1%**	**-14%**	**-12%**	**-12%**	**-5%**	**0%**

Key Highlights:

1. **Overall TB program grew to 131k in Oct:** Lever 3 Swarm contributed ~10k incremental ADO growth in total
2. **Overall program Oct PnL at 2%, or 338k USD:** Overall program in Sept combining all levers is slightly positive at +1% PnL, or $338k USD

[Swarm: ERP push L3M performance] Swarm's overall ADO grew from 0.18k in Jul to 10.8k in Oct, with a +1.6 mil incremental TB SKUs brought into the platform

Metrics split by Cat	Jul	Aug	Sep	Oct
	Actuals	*Actuals*	*Actuals*	*MTD*
ADO 1	**181**	**2,998**	**7,666**	**10,760**
... Fashion	172	2,701	6,938	8,995
... F&B	7	213	466	932
... Beauty	0	1	125	595
... Furniture	0	3	4	4
... Others	2	81	133	234
ADG	**2,334**	**10,683**	**33,311**	**51,494**
... Fashion	2,199	9,963	30,655	45,069
... F&B	33	366	1,460	2,639
... Beauty	0	8	566	2,300
... Furniture	0	35	93	102
... Others	102	311	537	1,270
SKU# 2	**49,762**	**82,142**	**475,385**	**1,646,902**
... Fashion	48,096	79,100	421,212	1,342,479
... F&B	742	1,063	13,721	17,807
... Beauty	11	185	35,026	73,240
... Furniture	1	148	1,507	2,496
... Others	912	1,646	3,917	10,882
SKU Effi	**0.36%**	**3.65%**	**1.61%**	**0.74%**
... Fashion	0.36%	3.65%	1.61%	0.74%
... F&B	0.88%	3.41%	1.65%	0.67%
... Beauty	0.00%	20.04%	3.40%	5.23%
... Furniture	0.00%	0.42%	0.36%	0.81%
... Others	0.25%	1.70%	0.27%	0.18%

Key Highlights:

1. **Overall Swarm grew from 0.18k ADO in Jul, to 10.8k ADO in Oct:** Incremental growth driven by a combination of marketing push and large SKU pool of 1.5 mil SKUs. Majority of orders driven in fashion 9k, followed by F&B 0.9k and Beauty 0.6k.

2. **Total of 1.6 mil incremental new SKUs brought into platform from program:** Steady monthly increase of SKUs for the past few months, with majority of the SKUs clustered in fashion 1.3m, followed by Beauty 0.07m and F&B 0.02m.

[Swarm: ERP Sep'25 Actuals] Combined P&L: We invested heavily on ads/rebates/voucher, with lower estimated sku weight (quality), we see a Combined PnL of -$0.8m

Table: Sep'25 Swarm PnL actuals

Sep'25 Swarm Combined P&L		P&L ($, monthly)												P&L UE (usd/net order, monthly)								
		SG	MY	TH	PH	VN	TW	BR	MX	CO	CL	SEA	Total	SG	MY	TH	PH	VN	TW	BR	SEA	Total
Topline	ADO	440	1,202	2,087	2,771	824	148	191	0	2	2	7,472	7,666									
	ADGMV	2,621	5,391	8,206	9,322	3,620	1,364	2,749	5	20	13	30,524	33,312									
	ABS	6.0	4.5	3.9	3.4	4.4	9.2	14.4	14.1	10.3	7.2	4.1	4.3									
Seller Standalone	Seller Gross Revenue	90k	227k	385k	482k	93k	27k	74k	0k	0k	0k	1,305k	1,381k	8.6	8.1	7.9	7.9	5.6	27.9	19.0	7.9	8.1
	- COGS	-59k	-170k	-327k	-329k	-92k	-13k	-28k	-0k	-0k	-0k	-990k	-1,018k	-5.6	-6.1	-6.7	-5.4	-5.5	-13.7	-7.0	-6.0	-6.0
	- Shipping Fee	-58k	-79k	-144k	-246k	-36k	-3k	-44k	-0k	-0k	-0k	-565k	-610k	-5.6	-2.8	-3.0	-4.0	-2.1	-2.9	-11.2	-3.4	-3.6
	- Platform fees	-2k	-9k	-8k	-16k	-6k	-0k	-1k	-0k	-0k	-0k	-42k	-42k	-0.2	-0.3	-0.2	-0.3	-0.3	-0.3	-0.2	-0.3	-0.2
	... - Pltfm Comm	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	... - Pltfm Serv	-	-4k	-1k	-12k	-2k	-0k	-	-	-	-	-18k	-18k	-	-0.1	-0.0	-0.2	-0.1	-0.1	-	-0.1	-0.1
	... - Pltfm Trans	-2k	-6k	-7k	-5k	-4k	-0k	-1k	-0k	-0k	-0k	-23k	-24k	-0.2	-0.2	-0.1	-0.1	-0.2	-0.2	-0.2	-0.1	-0.1
	- Paid Ads Expenses	-91k	-60k	-93k	-67k	-26k	-19k	-17k	-0k	-0k	-0k	-357k	-375k	-8.7	-2.2	-1.9	-1.1	-1.6	-19.2	-4.3	-2.2	-2.2
	- Seller Voucher/Item Rebate	-32k	-72k	-152k	-229k	-13k	-17k	-42k	-0k	-0k	-0k	-513k	-556k	-3.0	-2.6	-3.1	-3.7	-0.8	-17.1	-10.8	-3.1	-3.3
	... - voucher	-22k	-59k	-120k	-173k	-0k	-15k	-14k	-0k	-0k	-0k	-390k	-404k	-2.1	-2.1	-2.5	-2.8	-0.0	-15.7	-3.6	-2.3	-2.4
	... - campaign	-9k	-13k	-32k	-55k	-12k	-1k	-28k	-	-	-0k	-124k	-152k	-0.9	-0.5	-0.7	-0.9	-0.7	-1.4	-7.2	-0.7	-0.9
	Standalone P&L	-152k	-164k	-338k	-405k	-78k	-25k	-57k	-0k	-0k	-0k	-1,162k	-1,220k	-14.5	-5.9	-7.0	-6.6	-4.7	-25.2	-14.5	-7.0	-7.2
MP	MP Revenue	93k	65k	94k	75k	29k	19k	17k	0k	0k	0k	376k	394k	8.9	2.3	1.9	1.2	1.8	19.5	4.4	2.3	2.3
	+ Commission	-	3k	1k	10k	2k	0k	-	-	-	-	17k	17k	-	0.1	0.0	0.2	0.1	0.1	-	0.1	0.1
	... + Base Commission	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	... + Charged Services	-	3k	1k	10k	2k	0k	-	-	-	-	-18k	-18k	-	0.1	0.0	0.2	0.1	0.1	-	-0.1	-0.1
	+ Handling Fee	2k	5k	6k	4k	3k	0k	1k	0k	0k	0k	22k	22k	0.2	0.2	0.1	0.1	0.2	0.2	0.2	0.1	0.1
	+ Paid ads	91k	56k	87k	60k	24k	19k	17k	0k	0k	0k	338k	355k	8.7	2.0	1.8	1.0	1.5	19.2	4.3	2.0	2.1
	- Shopee PRM	-9k	-49k	-66k	-48k	-18k	-0k	-5k	-0k	-0k	-0k	-189k	-194k	-0.9	-1.7	-1.4	-0.8	-1.1	-0.2	-1.2	-1.1	-1.1
	- Shopee TXN Fee	-1k	-2k	-2k	-2k	-0k	-0k	-1k	-0k	-0k	-0k	-8k	-9k	-0.1	-0.1	-0.0	-0.0	-0.0	-0.1	-0.2	-0.0	-0.1
	MP PC2	83k	14k	27k	25k	11k	19k	12k	0k	0k	0k	179k	191k	7.9	0.5	0.6	0.4	0.7	19.2	3.0	1.1	1.1
SLS	SLS P&L	36k	23k	49k	74k	15k	0k	18k	0k	0k	0k	197k	216k	3.4	0.8	1.0	1.2	0.9	0.4	4.6	1.2	1.3
Combined	MP PC2 + SLS + Standalone P&L ($)	-32k	-127k	-262k	-307k	-52k	-6k	-27k	0k	-0k	-0k	-786k	-813k	-3.1	-4.5	-5.4	-5.0	-3.1	-5.6	-6.9	-4.7	-4.8
	MP PC2 + SLS + Standalone P&L (%)	-41%	-78%	-107%	-110%	-48%	-14%	-33%	3%	-5%	-27%	-86%	-81%									

TB lever 3

Note: 1) standalone P&L is based on warehouse outbound orders with settlement price available; 2) the current data remains to include if any loss occurred due to RR/ COD failed delivery orders

*Note 2) alignment with local FP&A: we will start budget booking under cn sip structure **from Oct budget cycle.***
In Sep, swarm team provided the shop list to local team to co-track spendings, only call out from PH team on Sep 4th due to one seller spike (14k ado)

Key Highlights:

1. **Full month Standalone PnL at -$1.2m and Combined PnL at -$0.8m**
2. **Ads:** Spent 2.2 usd/order to boost sales, Ads driven for 4% of all SKUs for at least 5 days for incubation.
3. **Seller Voucher/Item rebate**: ~3.1 usd/order with 2.3/0.7 usd/order in seller voucher and item rebate respectively, rebates/vouchers driven more heavily for P0/P1 sellers, which are strategic sellers picked either via (1) they give us rebate (2) they're in a key category such as F&B (3) SAI team thinks they have good potential to grow
4. **We see -610K loss on shipping** due to our items being heavier than CNCB MP and us not being able to get the accurate weight, we decided to monitor in Oct and already act on building a weight correction SOP

[Swarm: ERP Oct MTD Actuals] Combined P&L: We see MoM ADO growth to 10.8K and improved combined P&L from -81% to -60% in Oct

Table: Oct'25 Swarm PnL actuals (MTD as of 20 Oct)

Oct'25 Swarm Combined P&L		P&L ($, monthly)												P&L UE (usd/net order, monthly)								
		SG	MY	TH	PH	VN	TW	BR	MX	CO	CL	SEA	Total	SG	MY	TH	PH	VN	TW	BR	SEA	Total
Topline	ADO	587	1,571	2,614	4,087	1,412	195	291	0	1	2	10,465	10,760									
	ADGMV	3,610	7,368	10,956	15,183	7,082	2,259	4,880	2	13	27	46,458	51,380									
	ABS	6.2	4.7	4.2	3.7	5.0	11.6	16.7	7.0	9.8	12.6	4.4	4.8									
Seller Standalone	Seller Gross Revenue	104k	200k	341k	576k	128k	32k	58k	0k	0k	0k	1,381k	1,439k	11.7	8.9	8.9	9.8	7.3	19.5	15.9	9.4	9.5
	- COGS	-49k	-128k	-242k	-328k	-106k	-22k	-24k	-0k	-0k	-0k	-875k	-899k	-5.5	-5.7	-6.3	-5.6	-6.0	-13.5	-6.5	-5.9	-5.9
	- Shipping Fee	-48k	-65k	-104k	-244k	-39k	-5k	-38k	-0k	-0k	-0k	-505k	-544k	5.4	-2.9	-2.7	-4.2	-2.2	-3.0	-10.5	-3.4	-3.6
	- Platform fees	-2k	-8k	-7k	-18k	-7k	-1k	-1k	-0k	-0k	-0k	-41k	-42k	-0.2	-0.3	-0.2	-0.3	-0.4	-0.3	-0.2	-0.3	-0.3
	... - Pltfm Comm	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	... - Pltfm Serv	-	-3k	-1k	-13k	-2k	-0k	-	-	-	-	-19k	-19k	-	-0.1	-0.0	-0.2	-0.1	-0.1	-	-0.1	-0.1
	... - Pltfm Trans	-2k	-5k	-6k	-5k	-4k	-0k	-1k	-0k	-0k	-0k	-22k	-23k	-0.2	-0.2	-0.2	-0.1	-0.3	-0.2	-0.2	-0.2	-0.2
	- Paid Ads Expenses	-56k	-40k	-70k	-65k	-21k	-9k	-13k	-0k	-0k	-0k	-262k	-275k	-6.3	-1.8	-1.8	-1.1	-1.2	-5.7	-3.6	-1.8	-1.8
	- Seller Voucher/Item Rebate	-52k	-70k	-140k	-305k	-32k	-12k	-23k	-0k	-0k	-0k	-612k	-636k	-5.9	-3.2	-3.7	-5.2	-1.8	-7.5	-6.4	-4.1	-4.2
	... - voucher	-22k	-34k	-48k	-94k	-2k	-5k	-9k	-0k	-0k	-0k	-205k	-214k	-2.4	-1.5	-1.3	-1.6	-0.1	-3.3	-2.4	-1.4	-1.4
	... - campaign	-31k	-37k	-92k	-211k	-31k	-7k	-15k	-	-0k	-0k	-407k	-422k	-3.4	-1.6	-2.4	-3.6	-1.7	-4.1	-4.0	-2.8	-2.8
	Standalone P&L	**-104k**	**-110k**	**-222k**	**-384k**	**-76k**	**-17k**	**-41k**	**-0k**	**-0k**	**-0k**	**-914k**	**-956k**	**-11.6**	**-4.9**	**-5.8**	**-6.5**	**-4.3**	**-10.6**	**-11.2**	**-6.2**	**-6.3**
MP	**MP Revenue**	**58k**	**44k**	**72k**	**74k**	**26k**	**10k**	**14k**	**0k**	**0k**	**0k**	**284k**	**297k**	**6.5**	**2.0**	**1.9**	**1.3**	**1.5**	**6.1**	**3.7**	**1.9**	**2.0**
	+ Commission	-	3k	1k	12k	2k	0k	-	-	-	-	17k	17k	-	0.1	0.0	0.2	0.1	0.1	-	0.1	0.1
	... + Base Commission	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	... + Charged Services	-	3k	1k	12k	2k	0k	-	-	-	-	-19k	-19k	-	0.1	0.0	0.2	0.1	0.1	-	-0.1	-0.1
	+ Handling Fee	2k	4k	5k	4k	4k	0k	1k	0k	0k	0k	21k	21k	0.2	0.2	0.1	0.1	0.2	0.2	0.2	0.1	0.1
	+ Paid ads	56k	37k	66k	58k	20k	9k	13k	0k	0k	0k	246k	259k	6.3	1.7	1.7	1.0	1.1	5.7	3.5	1.7	1.7
	- Shopee PRM	**-6k**	**-8k**	**-49k**	**-48k**	**-15k**	**-0k**	**-4k**	**-0k**	**-0k**	**-0k**	**-127k**	**-131k**	**-0.7**	**-0.4**	**-1.3**	**-0.8**	**-0.9**	**-0.3**	**-1.2**	**-0.9**	**-0.9**
	- Shopee TXN Fee	**-1k**	**-1k**	**-2k**	**-2k**	**-0k**	**-0k**	**-1k**	**-0k**	**-0k**	**-0k**	**-6k**	**-7k**	**-0.1**	**-0.1**	**-0.0**	**-0.0**	**-0.0**	**-0.1**	**-0.3**	**-0.0**	**-0.0**
	MP PC2	**51k**	**35k**	**21k**	**24k**	**10k**	**9k**	**8k**	**0k**	**0k**	**0k**	**151k**	**159k**	**5.7**	**1.6**	**0.6**	**0.4**	**0.6**	**5.7**	**2.2**	**1.0**	**1.1**
SLS	**SLS P&L**	**30k**	**25k**	**42k**	**81k**	**12k**	**1k**	**15k**	**0k**	**0k**	**0k**	**191k**	**207k**	**3.4**	**1.1**	**1.1**	**1.4**	**0.7**	**0.6**	**4.1**	**1.3**	**1.4**
Combined	**MP PC2 + SLS + Standalone P&L ($)**	**-22k**	**-51k**	**-159k**	**-279k**	**-54k**	**-7k**	**-18k**	**0k**	**0k**	**-0k**	**-572k**	**-590k**	**-2.5**	**-2.3**	**-4.1**	**-4.7**	**-3.1**	**-4.3**	**-4.9**	**-3.9**	**-3.9**
	MP PC2 + SLS + Standalone P&L (%)	**-33%**	**-36%**	**-76%**	**-97%**	**-40%**	**-16%**	**-19%**	**108%**	**9%**	**-11%**	**-65%**	**-60%**									

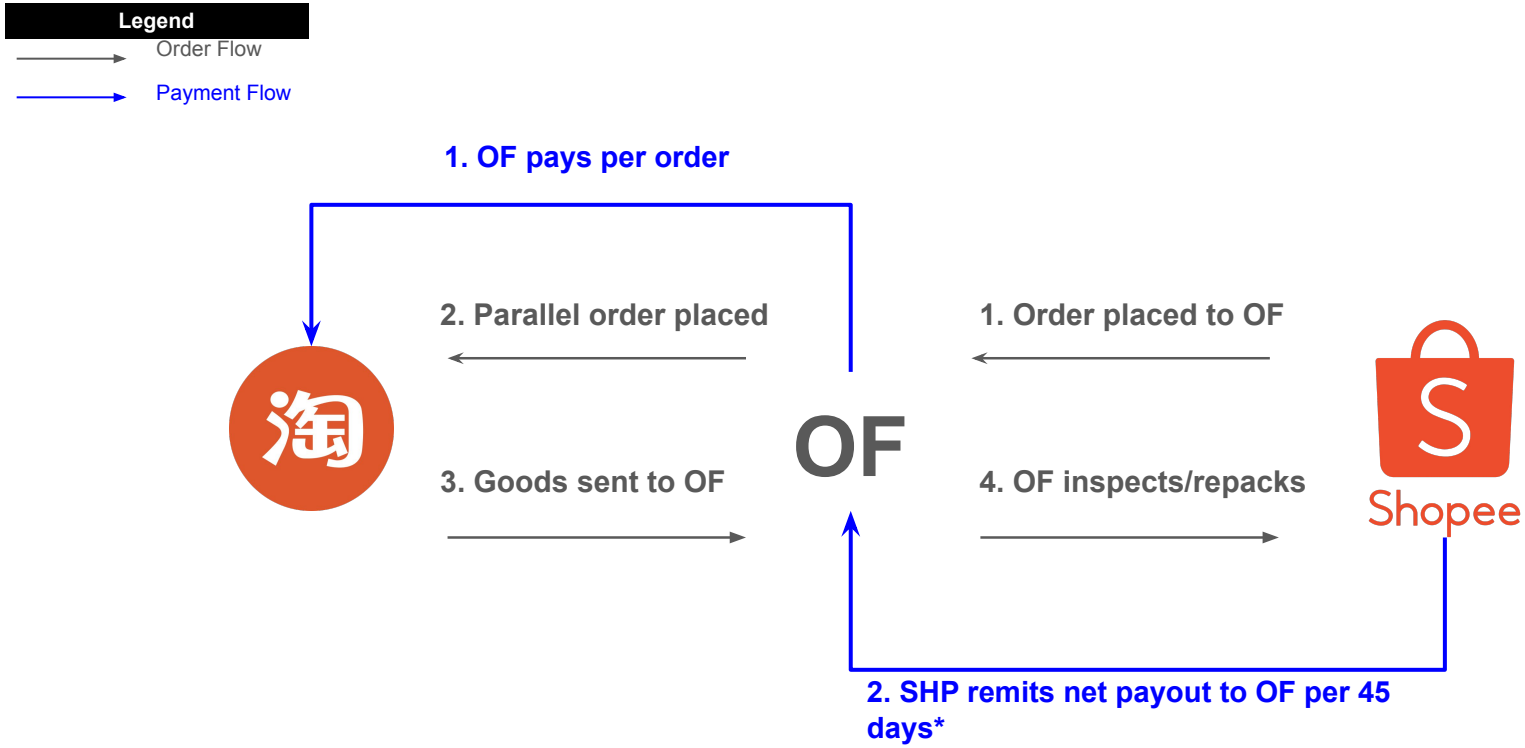
Key Highlights:

Standalone PnL at -$0.9m and Combined PnL at -$0.6m

1. **Combined P&L improved from -81% in Sept, to -60% in Oct:** Due to us cutting spend overall especially on top sellers, we've managed to improve the overall combined PnL by +21%
2. **Shipping fee is ~-544k:** Our shipping costs are high due to the fact that our weight is heavier than normal sellers due to higher quality SKUs being shipped. We will start to markup more price to mitigate the shipping loss from Nov onwards

Ocean Friend (OF) performance review

[Swarm: OF] Business Model: Ocean Friend is a dropshipping intermediary that mass connects us to Taobao, while providing value with repacking and orders consolidation



** Payment Schedule to be shortened to reduce interest fees*

[Swarm: OF] Business Intro: OF has driven 2.1k ADO and 1.15M SKUs for our program since its launch in mid Sep, it is contributing ~73% of our skus.

	OF								Non-OF							
	All*		Fashion		F&B		Beauty		All*		Fashion		F&B		Beauty	
	MTD	MoM	MTD	MoM	MTD	MoM	MTD	MoM	MTD	MoM	MTD	MoM	MTD	MoM	MTD	MoM
ADO	2,112.8	393%	1,240.4	495%	226.6	180%	443.2	364%	8,147.1	13%	7,032.1	9%	814.5	113%	3.6	10%
ADG	13,569	343%	9,723	418%	924	117%	1,996	307%	$34,131	13%	$30,626	11%	$1,833	80%	$31	0%
SKU#	1,154,734	243%	1,065,219	284%	13,292	16%	40,172	37%	327,328	77%	304,058	79%	3,565	48%	530	36%
SKU effi	0.18%	44%	0.12%	55%	1.70%	140%	1.10%	239%	2.49%	-36%	2.31%	-39%	22.85%	44%	0.68%	-19%
Seller # (GGP)	765	0%	372	-1%	237	0%	164	0%	108	15%	74	21%	17	6%	15	15%

*All includes Fashion, F&B, Beauty, Furniture and Other Categories, the latter two are not displayed in columns due to small size. Performance data is for all 10 country markets, as of 15 Oct.

Key Highlights:

1. **OF has 2.1k ADO and 1.2 mil SKUs, vs Non-OF at 8.1k and 0.3 mil SKUs:** OF makes up 20% of our overall ADO now, but has 80% of our SKUs. We will continue to grow OF and we expect most of our SKUs in future to come from OF. OF has agreed to give us 200k unique skus from every 1k ADO we generate.

[Backup, Swarm: OF Costs To Shopee Breakdown] For the first payout to OF, OF charge Swarm service costs; After negotiation, we target to reduce cost to 94.8% of current by Dec

1st time payout Components (USD)	OF current Cost			Negotiated Cost			%Price cut	Remark
	Total Cost	% Cost	CPO	Total Cost	% Cost	CPO		
COGS	**107,490.1**	**87.6%**	**6.46**	**107,490.1**	**87.6%**	**6.46**	**0.0%**	**Actual purchase costs on Taobao, after-voucher price**
Logistic Costs	**6,407.4**	**5.2%**	**0.39**	**5,820.9**	**4.7%**	**0.35**	**-9.2%**	**Total Logistic related costs, incld TWS and shipping fee**
TWS handling fee	5,820.9	4.7%	0.35	5,820.9	3.8%	0.30	0.0%	Fixed vendor TWS handling fee. Current 2.5 is CNY/order, vendor cost is 2.1 CNY. Can further drop to 2 CNY with > 10k ADO
TWS Value-added service fee	3.2	0.003%	0.00	0.0	0.0%	0.00	-100.0%	Consumables fee caused by changing the packaging when the package is damaged. [Removed] After nego, OF will bear
CN Domestic shipping fee	583.4	0.5%	0.04	0.0	0.0%	0.00	-100.0%	Domestic shipping fee of Taobao orders without Free Shipping [Removed] Short term unlist such SKUs. Long term OF include in settlement price
Return shipping fee	0.0	0.0%	0.00	0.0	0.0%	0.00	0.0%	Return shipping fees incurred when order cancelled before arriving TWS
Non Logistic Costs	**5,302.7**	**4.3%**	**0.32**	**4,643.7**	**3.8%**	**0.28**	**-12.4%**	**Total Non logistic costs, incld fund costs and tax**
Fund interest	1,736.8	1.4%	0.10	1,736.8	0.0%	0.0	0.0%	Interest charged by OF from advance payment, currently 1.5% (settlement cycle 45d, annualized rate 12%) 1.5% → 0%, if support pre-recharge to OF (0d). Aligned with legal team to proceed, target ETA: Dec 1st.
Exchange rate loss	659.0	0.5%	0.04	0.0	0.0%	0.00	-100.0%	Exchange losses for OF to exchange CNY to USD to CNH [Removed] Tenpay will support CNH withdrawal on Oct 21
万里汇commission fee	442.2	0.4%	0.03	442.2	0.4%	0.03	0.0%	Commission fee charged by 万里汇, taobao only support OF purchase via 万里汇
Tax Fee	2,464.7	2.0%	0.15	2,464.7	2.0%	0.15	0.0%	Tax after 17号文 as OF is HK entity and export from CN Mainland, 2% charged
OF Profit	**3,461.6**	**2.8%**	**0.21**	**3,461.6**	**1.9%**	**0.14**	**0.0%**	**OF charges 3% as profit.** Target is to bargain down to 2%, ETA; Dec 1st
Total Cost to Shopee	**122,661.8**	**100.0%**	**7.38**	**121,416.3**	**94.8%**	**7.0**	**-5.2%**	**Target to reduce by achieving the price cut from Dec**

Waived TBD

[Swarm: OF, NPC] OF and Non-OF are more price competitive than Taobao program comparing the final buyer paid price

Type	Level	Region	Scope	WTD TB SKU#	WTD SHP SKU#	WTD SHP ADO	13 October 2025			
							% Net Competitiveness			
							After SHP and TBG rebate [C]	After rebate and Voucher [D]	After rebate, voucher and BPSF [E]	After rebate, voucher, BPSF and tax
Non OF	CB	All	**Total**	7,209	9,924	1,594	-15%	3% (2)	52%	66% (1)
			Absolute				9,924	9,924	9,924	9,924
			...Expensive				5,407	4,487	2,217	1,531
			...Cheaper				3,884	4,790	7,394	8,072
			...Equal				633	647	313	321
OF	CB	All	**Total**	112,107	140,118	556	-73%	-66% (3)	46%	63% (1)
			Absolute				140,118	140,118	140,118	140,118
			...Expensive				119,472	114,081	33,258	23,578
			...Cheaper				17,511	21,307	98,110	112,176
			...Equal				3,135	4,730	8,750	4,364
Taobao Program	CB	All	**Total**	13,643	15,018	9,694	-44%	-38% (2)	-11%	0% (1)
			Absolute				15,018	15,018	15,018	15,018
			...Expensive				10,546	10,034	8,071	7,279
			...Cheaper				4,129	4,553	6,471	7,289
			...Equal				343	431	476	450

Highlights:

1. **Comparing E + Tax price, OF and non OF SKUs are the more price competitive than the Taobao program:** Non-OF and OF stands at 66% and 63% respectively, whereas Taobao program is at 0%
2. **Comparing D price, non-OF is more competitive than Taobao program:** non-OF sellers are more competitive at 3% vs Taobao program at -38%
3. **Non-OF sellers show a big jump from D to E price:** Due to the fact that OF SKUs are primarily heavy as OF focuses on fashion apparels, bags, and F&B SKUs, the weight is a lot higher than the other 2, which increases the shipping costs to Swarm. From Nov, we plan to bring more top selling TB items such as fashion accessories, etc

[Backup] ERP SKUs focuses on heavier items such as fashion apparels, bags, TKB and F&B SKUs

Top Selling SKUs:

Fashion			F&B		
Girl Jeans ***0.402kg*** ***1.4k Ratings***	***Men Bags*** ***0.647kg*** ***1.4k Ratings***	***Men Shirt*** ***0.350kg*** ***0.7k Ratings***	***Black Truffle Chips*** ***0.3kg*** ***0.3k Ratings***	***Pistachio Chocolate*** ***0.3kg*** ***0.3k Ratings***	***Orange Peel Snack*** ***0.3kg*** ***0.4k Ratings***

[Swarm: OF, Ops] Key Metrics: ERP's NFR is worse than MP at 7.4% vs 1.9% but LSR is better at 0.9% vs 2.3%. BWT time is 0.4 days longer due to first-mile requiring slightly more time to deliver

Metric	Total				SG				MY				VN				TH				PH			
	ERP	...OF	...Non-OF	MP	ERP	...OF	...Non-OF	MP	ERP	...OF	...Non-OF	MP	ERP	...OF	...Non-OF	MP	ERP	...OF	...Non-OF	MP	ERP	...OF	...Non-OF	MP
Total NFR%	**7.4%**	**8.4%**	**6.8%**	**1.9%**	**6.4%**	**5.6%**	**6.6%**	**2.3%**	**5.9%**	**2.8%**	**6.6%**	**1.6%**	**12.5%**	**17.6%**	**8.9%**	**1.7%**	**6.4%**	**5.4%**	**6.6%**	**1.5%**	**6.5%**	**5.9%**	**6.6%**	**1.3%**
... (1) FAILED TO REACH TWS	1.5%	0.2%	3.6%	-	2.4%	0.3%	2.9%	-	2.7%	0.3%	3.3%	-	1.5%	0.1%	2.4%	-	2.5%	0.2%	3.0%	-	3.7%	0.2%	4.5%	-
... (2) SELLER FAILED TO SEND	0.0%	0.1%	2.2%	-	2.1%	0.6%	2.5%	-	1.8%	0.0%	2.2%	-	3.3%	0.1%	5.5%	-	1.8%	0.0%	2.1%	-	1.3%	0.1%	1.5%	-
... (3) OUT OF STOCK	1.5%	7.5%	0.0%	-	0.5%	2.6%	0.0%	-	0.4%	2.1%	0.0%	-	6.9%	16.8%	0.1%	-	0.8%	4.7%	0.0%	-	0.9%	5.2%	0.0%	-
... (4) OTHERS	4.4%	0.6%	1.0%	-	1.4%	2.1%	1.2%	-	1.0%	0.5%	1.1%	-	0.8%	0.6%	0.9%	-	1.4%	0.4%	1.5%	-	0.6%	0.4%	0.6%	-
Old Seller	**-**	**-**	**3.9%**	**-**	**-**	**-**	**0.4%**	**-**	**-**	**-**	**2.7%**	**-**	**-**	**-**	**3.4%**	**-**	**-**	**-**	**3.3%**	**-**	**-**	**-**	**6.9%**	**-**
... (1) FAILED TO REACH TWS	-	-	0.02%	-	-	-	0.2%	-	-	-	0.0%	-	-	-	0.1%	-	-	-	0.0%	-	-	-	0.0%	-
... (2) SELLER FAILED TO SEND	-	-	3.9%	-	-	-	0.2%	-	-	-	2.6%	-	-	-	3.3%	-	-	-	3.3%	-	-	-	6.9%	-
... (3) OUT OF STOCK	-	-	0.0%	-	-	-	0.0%	-	-	-	0.0%	-	-	-	0.0%	-	-	-	0.0%	-	-	-	0.0%	-
... (4) OTHERS	-	-	0.0%	-	-	-	0.0%	-	-	-	0.0%	-	-	-	0.0%	-	-	-	0.0%	-	-	-	0.0%	-
LSR%	**0.9%**	**0.0%**	**0.9%**	**2.3%**	**3.2%**	**0.0%**	**3.2%**	**2.6%**	**2.1%**	**0.0%**	**2.1%**	**2.5%**	**0.1%**	**0.0%**	**0.1%**	**1.5%**	**0.8%**	**0.0%**	**0.8%**	**2.4%**	**1.0%**	**0.0%**	**1.0%**	**1.7%**
BWT	**6.6**	**7.0**	**6.6**	**6.2**	**6.0**	**6.6**	**6.0**	**4.9**	**7.3**	**7.2**	**7.3**	**6.3**	**5.5**	**5.8**	**5.5**	**5.9**	**7.4**	**8.0**	**7.4**	**7.1**	**6.8**	**7.5**	**6.8**	**6.7**
... (1) FM	2.2	2.8	2.2	1.8	2.2	2.8	2.2	1.6	2.3	2.8	2.3	1.8	2.1	2.8	2.1	1.8	2.2	2.8	2.2	1.8	2.1	2.8	2.1	1.9
... (2) TWS	0.3	0.2	0.3	0.3	0.5	0.2	0.5	0.3	0.3	0.2	0.3	0.5	0.2	0.1	0.2	0.3	0.2	0.2	0.2	0.1	0.2	0.2	0.2	0.3
... (3) LH + CC	2.9	2.8	2.9	3.0	2.3	2.6	2.3	2.0	3.5	3.1	3.5	2.9	2.0	1.6	2.0	2.9	4.0	4.0	4.0	4.2	2.8	2.9	2.8	3.2
... (4) LM	1.2	1.2	1.2	1.1	1.0	1.0	1.0	0.9	1.2	1.1	1.2	1.1	1.2	1.2	1.2	1.0	1.0	1.0	1.0	1.0	1.6	1.6	1.6	1.3

Key Highlights:

1. **Comparing NFR, ERP is worse than MP at 7.4% vs 1.9%:** This is due to system stock sync issues and seller education, and after fixing, we target to lower this to 3%. If we look at old sellers, their NFR is at 3.9% which is closer to the 3% target we aim for.

2. **Comparing LSR, ERP is better than MP at 0.9% vs 2.3%:** Due to the heavier usage of PO for OF SKUs, our overall LSR is better than MP. However, we plan to move SKUs that are fast in their ship-out to non-PO by the end of this month.

3. **Comparing BWT, ERP is slightly slower than MP at 6.6 vs 6.2 days:** Due to the FM portion taking 0.4 days longer, our overall lead time is slightly slower

[Swarm: Growth Plan] Target to grow to 88.9K ADO by Mar 26, mainly driven by 1) SKU sourcing 2) COGS reduction 3) Optimize marketing. Seller PnL gradually return to breakeven by June 26.

			Actual	Projection								
	Metrics	Breakdown	Sep	Oct 25	Nov 25	Dec 25	Jan 26	Feb 26	Mar 26	Apr 26	May 26	Jun 26
Topline	ADO	**Total**	**7,662**	**10,315**	**14,473**	**28,924**	**44,411**	**66,300**	**88,900**	**93,314**	**94,741**	**95,135**
		SG	440	574	1,098	2,237	3,180	3,974	4,450	4,335	4,248	4,100
		MY	1,201	1,383	1,786	2,839	3,886	5,481	7,406	8,198	8,436	8,185
		TH	2,087	2,674	3,420	6,029	8,814	13,190	18,399	21,151	23,326	24,906
		PH	2,771	3,499	5,373	11,102	16,297	25,092	33,745	34,150	33,396	33,217
		VN	824	1,705	1,960	5,671	11,114	17,306	23,492	24,074	24,019	23,506
		TW	148	211	458	575	646	734	816	794	695	599
		BR	191	269	378	470	474	524	593	612	622	623
	ADGMV	**Total**	**$33,311**	**$55,315**	**$83,730**	**$189,909**	**$341,471**	**$573,188**	**$875,573**	**$922,341**	**$936,398**	**$941,226**
	ABS	**Total**	**$4.3**	**$5.4**	**$5.8**	**$6.6**	**$7.7**	**$8.6**	**$9.8**	**$9.9**	**$9.9**	**$9.9**
SKU aquisition (accumulated)	**Total SKU #**	**Total**	**465,554**	**1,290,554**	**3,990,554**	**10,190,554**	**17,890,554**	**25,590,554**	**30,790,554**	**35,990,554**	**41,190,554**	**46,390,554**
	Unique SKU #	**Unique**	**65,822**	**565,822**	**1,565,822**	**3,565,822**	**4,565,822**	**5,565,822**	**6,565,822**	**7,565,822**	**8,565,822**	**9,565,822**
Seller Standalone pnL	**%**	**Total**	**-182.7%**	**-153.8%**	**-109.8%**	**-79.8%**	**-49.4%**	**-31.6%**	**-19.0%**	**-12.7%**	**-6.4%**	**0.0%**
	$, Monthly	**Total**	**-$1,300,947**	**-$1,764,447**	**-$1,585,965**	**-$2,384,103**	**-$3,014,248**	**-$2,814,677**	**-$2,744,610**	**-$2,663,496**	**-$1,194,128**	**$0**
Combine pnL	**%**	**Total**	**-80.0%**	**-67.8%**	**-49.8%**	**-33.2%**	**-17.0%**	**-8.7%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**
	$, Monthly	**Total**	**-$1,294,923**	**-$1,159,299**	**-$1,261,266**	**-$1,990,827**	**-$1,799,929**	**-$1,398,733**	**$0**	**$0**	**$0**	**$0**

Key Highlights:

1. **Overall ADO targets projected to be 88.9K by FY26 Mar. Key assumptions:**
   - Overall SKU acquisition needs to ramp up tp 46.4M by FY26 Jun
   - SKU efficiency following 50% of SHP TB program in Nov and slowly reduce as project reducing rebates
   - Seller Standalone pnl gradually reduced from -183% to 0% within 9 months. Combine PnL breakeven by Mar 26
2. **Seller Pnl gradually reduced from -183% to breakeven**, via following initiatives:
   - Push seller to provide lower COGS
   - Gradually reduce ads investment by removing ads for old SKU
   - Participate in Platform Taobao seller program.

Confirmation Needed: 1) Above PnL Projection Okay? 2) Booking in official budget, to start booking in CNSIP from Nov'25 budget, with a negative 1.5mil monthly impact, even after CN+Local SIP (w/ waiver), not able to breakeven, to prepare for explanations

Shopee

THE END